IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT - 1

ITEM No.133

C.A.(CAA)/67/(AHM)2022

Order under Sections 230-232 of the Companies Act, 2013

IN THE MATTER OF:

HFW Textiles Private Limited **.....Applicants**
MBM Textiles Private Limited

Order delivered on ..24/01/2023

Coram:

Dr.Madan B. Gosavi, Hon'ble Member(J)
Mr.Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for the pronouncement of the order. The order is pronounced in the open court, vide separate sheet.

-SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-SD-

DR. MADAN B GOSAVI
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-1

CA(CAA) No.67/230-232/NCLT/AHM/2022

[In the matter of Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

Scheme of Amalgamation

of

HFW Textiles Private Limited
CIN: U18109GJ2011PTC067274
(Transferor Company)

with

MBM Textiles Private Limited
CIN: U17299GJ2021PTC119871
(Transferee Company)

And

Their respective Shareholders and Creditors

In the matter of:

HFW Textiles Private Limited

A Private Limited Company incorporated under the provisions of the Companies Act, 1956, having its registered office at E-18, Siddhi Vinayak Towers, Next to Kataria Arcade, Off. S.G. Highway, Makarba, Ahmedabad-380 0051

…. Applicant Company / Transferor Company

With

MBM Textiles Private Limited

A Private Limited Company incorporated under the provisions of the Companies Act, 2013, having its registered office at E-24, Siddhi vinayak Towers, Next to Kataria Arcade, Off. S.G. Highway, Ahmedabad-380 051

…. Applicant Company / Transferee Company

Order Pronounced on: 24.01.2023

Coram: Dr. Madan Bhalchandra Gosavi-Member (Judicial)
Mr.Kaushalendra Kumar Singh-Member(Technical)

Appearance:
Mr. Vinit Nagar, PCS, for the Applicant Companies.

ORDER

1. The present joint application is filed under Sections 230 and 232 and other relevant provisions of the Companies Act, 2013 (hereinafter referred to as the **'Act'**) and read with Companies (Compromise, Arrangements and Amalgamations) Rules, 2016, seeking dispensation of the meetings of the Equity Shareholders and the Unsecured Creditors of the Transferor Company and Transferee Company. There are no Secured Creditors in the Transferor Company and the Transferee Company, there is no question of holding any meeting of the Secured Creditors of the Transferor Company and the Transferee Company for the purpose of considering and, if thought fit, approving, with or without modification(s), a Scheme of Amalgamation of HFW Textiles Private Limited (Transferor Company) with MBM Textiles Private Limited

(Transferee Company) [Applicant Companies] with effect from the Appointed Date, i.e. 01.04.2022, as mentioned in the Scheme.

2. An Affidavit has been sworn by Mr. Chandramouli Neelakantan Gopalan on behalf of the Transferor Company and Transferee Company who is the authorized representative and one of the Directors of the Transferor Company and Transferee Company, and the same is annexed with the application. The above-named authorized representative for the Transferor Company and Transferee Company has been authorized vide Board Resolution dated 17.08.2022 of the Transferor Company and Transferee Company.

3. The averments made by the Applicant Companies are summarized as under:-

i) The Board of Directors of the Applicant Companies vide resolutions dated 17.08.2022 have approved the said Scheme. The said Board Resolutions are filed and produced at Annexures: A-5 & A-15.

ii) The registered office of both the Applicant Companies is situated in the State of Gujarat, and is under the jurisdiction of the National Company Law Tribunal, Bench at Ahmedabad.

iii) The Transferor Company-HFW Textiles Private Limited, having CIN: U18109GJ2011PTC067274, was incorporated under the provisions of the Companies Act, 1956 on 27.09.2011, and its registered office is situated at Ahmedabad, Gujarat.

iv) The Transferee Company-MBM Textiles Private Limited, having CIN:U17299GJ2021PTC119871, was incorporated under the provisions of the Companies Act, 2013, on 01.02.2021, and its registered office is situated at Ahmedabad, Gujarat.

v) The Applicant Companies have filed their Memorandum and Articles of Association inter alia delineating their object clauses, along with their last audited financial statement as on 31.03.2022. The applicant companies have also annexed the provisional financial statements as on 15.07.2022.

vi) Copy of the Scheme of Amalgamation is placed on record as Annexure:A-21.

vii) A Copy of the Valuation Report for the proposed Exchange Ratio of Shares to be issued by the Transferee Company, obtained from Mr. Suman Kumar Verma, the Registered Valuer-Securities or Financial Assets, IBBI Registration No.IBBI/RV/05/2019/12376, is placed on record as Annexure:A-22

viii) There are no proceedings or investigations pending against the Applicant Companies under Sections 210-217, 219, 220, 223 to 227 of the Companies Act, 2013 and/or under Sections 235 to 251 of the Companies Act, 1956. There are no winding-up petitions or proceedings under the Insolvency and Bankruptcy Act pending against any of the Applicant Companies.

ix) The Statutory Auditors of both the Applicant Companies have provided the certificate confirming the proposed Accounting Treatment is being in conformity with the applicable Accounting Standards. The said certificates are placed on record as Annexures: A-10 & A-20.

x) The provisions of the Competition Act, 2002 are not applicable in the present case. Hence, no notice is required to be served to the Competition Commission of India.

xi) The Notice is required to be served to the Reserve Bank of India as the Share Capital of both the Applicant Companies are held by two Non Resident Shareholders and in this regard, the FDI Norms/ Guidelines specified by the Central Government are attracted in the present Scheme Amalgamation.

xii) The Transferor Company has three (3) Equity Shareholders as of 01.04.2022 and all the Equity Shareholders (including two Foreign Shareholders) have given their consent in writing in the form of affidavits, in approval to the Scheme of Amalgamation and for waiving their right to convene the meeting of the Equity Shareholders. The consent Affidavits of Equity Shareholders are annexed to this application. The Statutory Auditors of the applicant companies has certified the number and value of the Equity Shareholders.

xiii) There are no Secured Creditors in Transferor Company as on 15.07.2022. The certificate from the Statutory Auditors confirming that there are no Secured Creditors is produced at Annexure:A-8 with the Application.

xiv) There are seven (7) Unsecured Creditors of the Transferor Company as on 15.07.2022 and all the Unsecured Creditors have given their consent in writing in the form of affidavits, in approval to the Scheme of Amalgamation and for waiving their right to convene the meeting of the Unsecured Creditors. The consent Affidavits of Unsecured Creditors are annexed to this application. The Statutory Auditors has also certified the number and value of the Unsecured Creditors.

xv) The Transferee Company has three (3) Equity Shareholders (including two Foreign Shareholders) and all the Equity Shareholders have given their consent in writing in the form of affidavits, in approval to the Scheme of Amalgamation and for waiving their right to convene the meeting of the Equity Shareholders. The consent Affidavits of Equity Shareholders are annexed to this application. The Statutory Auditors has certified the number and value of the Equity Shareholders

xvi) There are no Secured Creditors of the Transferee Company as on 15.07.2022. The certificate from the Statutory Auditors confirming that there are no Secured Creditors is produced at Annexure:A-18 with the Application.

xvii) There are five (5) Unsecured Creditors of the Transferee Company as on 15.07.2022 and all the Unsecured Creditors have given their consent in writing in the form of affidavits, in approval to the Scheme of Amalgamation and for waiving their right to convene the meeting of the Unsecured Creditors. The consent Affidavits of Unsecured Creditors are annexed to this application. The Statutory Auditors has certified the number and value of the Unsecured Creditors.

xviii) The proposed scheme of amalgamation is aimed to achieve the following business and commercial objectives:-

a) *Facilitate consolidation of the undertakings in order to enable effective management and unified control of operations considering the common Board of Directors; and*

b) *Create economies in administrative and managerial costs by consolidating the business operations; and*

c) *The amalgamation of the companies would broaden the capital base of the resultant unit which can expand and strengthen its business operation keeping in mind the changed economic and business conditions and the opportunities in India and overseas; and*

d) *Reduce duplication of administrative and operational responsibilities and multiplicity of records and legal and regulatory compliances; and*

The proposed Amalgamation shall not be prejudicial to the interest of the shareholders and shall not have any adverse impact on the creditors or other stakeholders of the both the applicant Transferor and Transferee Company.

4. We have heard Mr. Vinit Nagar, Ld. PCS appeared for the Applicant Companies and perused the documents annexed with the application. We have sought the clarification from both the applicant companies on 07.12.2022 and directed them to place on record the original copy of consent affidavits of all the Equity Shareholders and Unsecured Creditors and also directed them to produce the copy of the Board Resolutions / Authorization Letters in support of the authorization for filing the consent affidavits with respect to all the Equity Shareholders and Unsecured Creditors for Scheme approval, as it was found that the consent affidavit annexed to the application are the photocopies and not the original affidavits. On 03-01-2023, the Applicant Companies have furnished along with the clarificatory affidavit the original copy of the consent affidavit received from all its Equity Shareholders and Unsecured Creditors together with the copy of the Board Resolutions / Authorization Letters in support of the authorization for filing the consent affidavits, which was taken on records.

It appears that the present application complies with all provisions of Sections 230-232 of the Companies Act and Rules provided thereunder. Hence, we allow the present company application with the following order/directions:

i) The meetings of the Equity Shareholders and the Unsecured Creditors of the Transferor Company and Transferee Company are hereby dispensed with in view of the consent affidavits attached with the application.

ii) Since there are no Secured Creditors in the Transferor Company and in the Transferee Company, convening the meetings of the Secured Creditors are not necessary.

5. In compliance of subsection (5) of Section 230 of the Companies Act, 2013 and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Applicant Companies shall send a notice in Form No. CAA.3 along with copy of the Scheme of Amalgamation to: (i) the Central Government through the Regional Director, North Western Region; (ii) the Reserve Bank of India (RBI) (iii) the Registrar of Companies, Gujarat; (iv) Income Tax Authorities concerned; (v) Official Liquidator (in case of Transferor Company); stating that the representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the Scheme.

6. The applicant companies shall file a compliance affidavit with the Registry with regard to the directions given in this order.

7. This Company Application is disposed of accordingly.

-SD- -SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

DR. MADAN B GOSAVI
MEMBER (JUDICIAL)

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